Porter-Style Delivery Platform: MVP Definition and Risk Register

Document 4 of the pack | Version 0.2 (draft) | Market: Melbourne, Victoria Builds on: Idea Brief v0.4, Competitive and Market Analysis v0.1, Business Model and Unit Economics v0.2
Labels: FACT, ASSUMPTION, RISK, OPPORTUNITY, RECOMMENDATION, OPEN QUESTION. Thresholds and ratings in this document are proposals for you to confirm, not researched benchmarks.

---

1. MVP purpose

Core hypothesis to test:
People (and a few businesses) in the launch corridor will book and rebook a fixed-price delivery for bulky or mixed-size items through the platform, and enough independent drivers will fulfil those jobs reliably at pay they accept.
The MVP is not meant to: compete on every job type, cover all of Melbourne, or prove the full business. It tests four things:

#	Question	Evidence needed
1	Is there demand for fixed-price bulky-item delivery?	Bookings per week; share of repeat customers
2	Will drivers join and stay at the pay the model allows?	Drivers active weekly; job acceptance rate; driver earnings per hour
3	Can we deliver reliably and safely?	On-time rate; damage and dispute rate
4	Do the unit economics work at real prices?	Contribution per job against Document 3

2. Recommended approach: two stages

RECOMMENDATION: Don't build the full app first. Run a manual pilot, then build.

	Stage 0: Concierge pilot	Stage 1: App MVP
What	A booking web form, manual quoting and dispatch, a driver group chat, card payment links	Customer app and web, driver app, admin dashboard
Purpose	Test demand, pricing, driver pay and incident handling cheaply	Test the product experience and repeat use
Duration (proposal)	6 to 8 weeks	3 to 4 months to build, then 3 months live

Build effort	Minimal	Substantial
Exit gate	Demand and driver gates in Section 7	Gates in Section 7

Why: Document 3 shows thin margins at competitor-level pricing. Learning the real numbers before building the app avoids paying for software around a pricing model that doesn't work.

3. MVP scope

3.1 Launch parameters

- Area: Footscray, CBD and Richmond corridor (OPEN QUESTION: confirm this area).
- Vehicles: Bike or car, and van or ute. Trucks are out of the MVP (RECOMMENDATION): they raise job value but also compliance, insurance and loading complexity.
- Lead jobs: Marketplace pickups, small moves, and single bulky items. Plus a handful of anchor SMBs handled personally.
- Customers: Open to everyone, with a focused go-to-market (decision made earlier).
- Drivers: Independent contractors who sign up and are verified. No payroll, no fixed hours.
- Pricing (ASSUMPTION): Platform-set fixed price, benchmarked on Zoom2u's same-day, 3-hour and 1-hour structure. Final prices come from the pilot.

3.2 Features in the MVP

Customer

Feature	Notes
Sign up and sign in	Email or phone; minimal steps
Book a delivery	Pickup and drop-off addresses; item description and photos; size category; stairs and helper options
Time options	Flexible window (cheapest), within 3 hours, within 1 hour
Instant fixed quote	Price shown before payment, all-in
Pay by card or wallet	Pre-authorised at booking, charged on completion
Live tracking	Driver location, status updates
Photo proof of delivery	Photos at pickup and drop-off
Receipt and job history	Includes business name and ABN for business customers
Cancel and rebook	Rules in Section 4
In-app help and issue report	Includes a damage report with photos
Rate the driver	After delivery

Driver

Feature	Notes

Apply and verify	Identity, licence, vehicle details, ABN, insurance evidence, background checks as the legal advice requires
Go online and offline	Availability toggle
Job offers	Pickup, drop-off, distance, item details, and earnings shown before accepting
Accept or decline	Timed offer
Navigation handoff	Opens a maps app
Status updates	Heading to pickup, arrived, picked up, delivered
Capture proof of delivery	Photos, and an optional recipient code
Earnings view	Per job and weekly
Payouts	Weekly in MVP; instant payout is post-MVP
Rate the customer	After delivery

Admin (a simple back office)

Feature	Notes
Job list and live map	Filter by status
Manual assign and reassign	Override for failed matches
Manual quote and price override	Used for small moves and unusual jobs
Driver onboarding queue	Approve, reject, suspend
Dispute and damage handling	Case notes, refunds, driver deductions
Basic reports	Jobs, revenue, contribution per job, on-time rate, driver activity
Pricing settings	Edit rates, add-ons and commission without code changes

3.3 Handled manually in the MVP

- Small moves: The customer submits a request and an admin confirms an hourly or fixed price. Automatic quoting comes later.
- Insurance claims: Handled by a person using photos and job history.
- Driver support: By message or phone.

3.4 Not in the MVP (post-MVP and future)

Post-MVP (next)	Future roadmap

Automatic small-move quoting by hour	Trucks and heavier freight
Business accounts, invoicing and monthly billing	Subscriptions for businesses
Scheduled and recurring jobs	Enterprise API and integrations
Instant driver payouts	Multi-stop and batched routes with automated optimisation
Promo codes and referral rewards	Expansion to Greater Melbourne and other cities
Surge or dynamic pricing	Quick-commerce services (parked)
In-app chat and masked calls	Driver tools such as fuel and insurance partnerships
Better ratings and driver tiers	Analytics and demand forecasting

RISK: Surge pricing and urgent-tier pricing are different. The three fixed time tiers are in the MVP. Automatic surge based on live demand is not.

4. Key business rules (proposed)

Area	Rule
Price	Fixed at booking. Changes only for customer-driven changes (extra stops, added helper, longer wait)
Commission	Single rate for all jobs at launch (value set by pilot; model range 15% to 25%)
Driver pay	Shown to the driver before acceptance; paid after the job is completed and not disputed
Cancellation by customer	Free until a driver is assigned; a fee applies after assignment (fee to be defined)
Cancellation by driver	Tracked; repeated cancellations lead to warnings, then suspension
Waiting time	Free period at each stop, then charged per minute (values to be defined)
Item limits	Maximum weight and size by vehicle class; banned items list (dangerous goods, cash, drugs, weapons, live animals, high-value items above a set cap)
Identification	Pickup and drop-off confirmed with photos; optional recipient code
Disputes	Customer must report with photos within a set period (to be defined)
Off-platform dealings	Prohibited in driver terms; contact details masked until the job is accepted

5. Non-functional requirements (proposed)

Area	Requirement
Platforms	iOS and Android apps (or a mobile web app for stage 1), plus a desktop admin dashboard
Payments	Card payments with held funds; payouts to independent drivers; GST handling
Location	Live GPS during jobs only
Notifications	Push and SMS for booking, assignment, arrival, delivery and issues
Privacy	Collect only what's needed; clear consent for location and photos; secure storage of driver identity documents. Compliance with Australian privacy law to be confirmed with legal advice
Security	Encrypted data in transit and at rest; role-based admin access; audit log of admin actions
Accessibility	Readable text, clear contrast, support for large text on mobile
Reliability	The booking and tracking flow must work on typical mobile data
Auditability	Every price, assignment and payout change recorded

6. Success metrics for the pilot (proposed thresholds)

These are starting proposals. Set them before the pilot starts and don't change them afterwards.

Metric	Proposed target
Completed jobs	At least 150 across the pilot
Share of requests matched to a driver	At least 85%
On-time delivery	At least 90%
Damage or dispute rate	Under 3% of jobs
Customers who book again within 6 weeks	At least 25%
Driver net earnings per hour (after vehicle costs)	At or above the target set in Document 3 follow-up (OPEN QUESTION: define target)
Contribution per job	At least breakeven on direct costs; target set after pilot data

Driver weekly retention	At least 60% of drivers active after 4 weeks
Customer rating	4.5 or higher

7. Go and no-go gates

Gate	Decision	Pass condition
Before the pilot	Start Stage 0	Insurance quote obtained; legal advice on driver terms; banned-items list and terms written
After the pilot	Build the app	Demand and matching targets met; driver pay acceptable; damage rate within target
After app launch (3 months)	Scale or change direction	Repeat rate and contribution per job on track; no unresolved legal blockers

If gates fail, the options are: change the lead job, change the pricing tiers, narrow the area, or stop.

8. Risk register

Ratings are my judgement (Low, Medium, High). Status for all risks: Open, because none have been worked on yet.

ID	Risk	Category	Likelihood	Impact	Mitigation	Early warning
R1	Supply cold start: too few drivers online at the right time, so jobs go unmatched	Marketplace	High	High	Launch in one corridor; sign up drivers before opening bookings; early-job earnings guarantee; schedule flexible-window jobs	Match rate under 85%
R2	Driver pay too low at competitor-level prices (Document 3: about $18 net per hour on same-day couch jobs)	Economics	High	High	Flexible-window and urgent tiers priced to pay; batch jobs; minimum job price; customer service fee	Driver net per hour under target; drivers decline jobs

R3	Platform margin too thin (about $3.58 on a same-day couch job at 20%)	Economics	High	High	Price test in pilot; service fee; more add-ons; shift mix towards urgent and small-move jobs	Contribution per job below breakeven
R4	Competitive parity: Zoom2u and GoPeople already state bike-to-truck coverage	Competition	High	Medium	Position around a specific job and fixed all-in price; test with consumers	Customers say there is no difference
R5	Consumers don't repay acquisition cost	Economics	High	High	Anchor SMBs; referrals; lead use cases with higher repeat; keep paid marketing low until retention is proven	Repeat rate under 25%
R6	Regulation: Fair Work Commission minimum standards may extend to last-mile and road transport delivery; contractor status exposure	Legal	Medium	High	Employment-law advice; design driver terms and pay to withstand a pay floor; monitor FWC decisions	New FWC order or application covering general delivery
R7	Insurance gaps: goods in transit, public liability, driver cover	Legal and financial	Medium	High	Obtain quotes before pilot; set item value caps and banned items; require drivers to hold own cover; photo evidence	No insurer willing to cover, or cost above model
R8	Damage and disputes on bulky items (couches, appliances)	Operations	High	Medium	Photo evidence at pickup and drop-off; item rules; clear claims	Damage rate above 3%

					process; reserve in pricing	
R 9	Disintermediation: customers and drivers go direct after a first job	Marketplace	Medium	Medium	Mask contact details until acceptance; app tools (tracking, receipts, proof of delivery); driver terms	Repeat customers vanish from the platform
R 10	Safety: theft, fraud, unsafe handling, safety of drivers and customers	Safety	Medium	High	Driver verification; rating system; in-app emergency contact; banned items; incident procedure	Incident reports
R 11	Payment fraud and chargebacks	Financial	Medium	Medium	Pre-authorised payments; identity checks for new accounts; admin review of high-value jobs	Chargeback rate
R 12	Driver no-shows and cancellations	Operations	High	Medium	Penalties after repeated cancellations; backup dispatch by admin; reliability score	Driver cancellation rate above target
R 13	Privacy and data security: driver identity documents, location data	Legal and security	Medium	High	Collect minimum data; secure storage; access controls; legal review	Any breach or complaint

R 14	Budget overrun before validation	Financial	Medium	High	Stage 0 pilot first; fund the app only after gates pass	Spend ahead of milestones
R 15	New entrant (for example Lalamove, Uber expanding Connect)	Competition	Low	Medium	Local focus; relationships with sellers and anchor SMBs; speed to learn	Announcements
R 16	Operational capacity: too little time and staff to run dispatch, driver support and claims during the pilot	Execution	Medium	High	Define clear pilot roles; assign or hire a dispatch and operations lead	Pilot tasks slipping

9. Dependencies and assumptions

Dependencies (must be in place before the pilot):

1. Insurance arrangements (R7).
2. Legal advice on driver contractor terms and the Fair Work Commission order (R6).
3. A payments provider and a way to pay independent drivers.
4. Driver supply plan and first group of verified drivers (R1).
5. Terms of service, banned-items list and a claims process.

Assumptions:

1. A platform-set fixed price is acceptable to drivers and legally workable.
2. Zoom2u pricing is a workable benchmark for launch pricing.
3. Customers will book via a web form or mobile web during the pilot.
4. Competitor quotes are assumed to include driver carrying, matching standard practice as you describe it. This has not been checked against competitor terms.

10. Open questions to settle before the pilot

1. Trucks out of MVP: confirmed?
2. Launch area: Footscray, CBD and Richmond, or a different corridor?
3. Two-person add-on: Carrying by the driver is included as standard (decided). What weight threshold requires a second person, and what is the add-on price?
4. Driver pay target: what hourly net earnings must a driver reach to stay?
5. Who runs dispatch during the pilot?
6. Funding for the pilot: what budget is available for stage 0?

11. Next documents

1. Product Requirements Document (PRD), built on Sections 3 to 5
2. Go-to-Market Strategy (driver supply plan, consumer lead use cases, anchor SMBs)
3. Pilot plan (Stage 0 operations)
4. Developer handoff, once gates are passed